

increased to 15 per cent. India is still dependent on China for high-end components, including high-quality displays,” says Prabhu Ram, Head of Industry Intelligence Group (IIG) at CyberMedia Research (CMR).

In home appliances, Godrej Appliances is manufacturing components such as heat exchangers, cooling and condenser coils and plastic injection moulding for air conditioner parts in-house, while some components like BLDC motors, customised design of sheet metal pressing parts, etc., are being procured from India instead of China.

CONSUMER ELECTRONICS PRODUCTS WILL SEE A RISE IN PRICES IN THE NEAR FUTURE

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While Indian electronics firms are watching the situation in China, expect prices to go up soon, because of a number of factors. One of them is the steadily rising prices of raw materials. In addition, the Russia-Ukraine conflict has put pressure on the global economy. The rupee, too, has seen its value falling to its lowest level in recent years. “As per the given scenario, prices of consumer durables such as televisions and washing machines may rise in the next [few] months due to rising raw material prices, higher freight charges, the ongoing conflict and its implications, and the ongoing war’s ripple effects. We might expect a 7-10 per cent increase in television costs,” says Videotex’s Bajaj. One can only hope that the situation in China improves. **BT**

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| EARNINGS PREVIEW |

Steady Goes the Ship

Riding on the strong growth in credit offtake, banks are expected to report better results in Q3FY23

BY TEENA JAIN KAUSHAL



ILLUSTRATION BY ANIRBAN GHOSH

► **WHILE THE BROADER** Nifty 50 Index gave a return of just 2.5 per cent in April-December, 2022, the Nifty Bank Index gave a return of 16 per cent during the same period. If you think this is a lot, then you need to consider the return of 52 per cent given by the Nifty PSU Bank Index.

The banking sector has outshone the broader market as well as other industry sectors, led by impressive growth in credit, rising interest rates, and improving asset quality. Riding on these, banks alone have given a total profit of nearly ₹59,000 crore in Q2FY23; a jump of 59 per cent. So, will these factors continue to drive the banking industry’s growth in Q3FY23?

A report from brokerage firm Sharekhan by BNP Paribas states that banks are likely to report a 35 per cent year-on-year (YoY) growth in earnings in Q3FY23. The earnings growth will be led by healthy growth in loans and lower credit costs. Net interest income (NII) growth is also expected to be higher at 23 per cent YoY. The quantum of margin expansion is expected to be lower compared to the previous quarter due to the increased cost of deposits to garner a higher share of retail liabilities, the report states.